

House File 2104

S-5002

1 Amend the amendment, S-5001, to House File 2104, as passed by
2 the House, as follows:

3 1. By striking page 1, line 1, through page 8, line 7, and
4 inserting:

5 <Amend House File 2104, as passed by the House, as follows:

6 _____. By striking everything after the enacting clause and
7 inserting:

8 <Section 1. NEW SECTION. **479B.1A Legislative intent.**

9 It is the goal of the general assembly that the right of
10 eminent domain will not be granted for a hazardous liquid
11 pipeline except when every other reasonably available
12 alternative has been diligently exhausted. Further goals of
13 the general assembly are to promote the production of energy,
14 derived from crops grown and resources gathered within the
15 state of Iowa, and elsewhere within the United States, to
16 ensure long-term, economically competitive and diverse sources
17 of energy for Iowans, for citizens of the United States,
18 and for our customers abroad; to support agriculture in the
19 state of Iowa, and the employment of Iowans in agricultural
20 work and in affiliated industries; to encourage investment
21 in Iowa agriculture, and in the facilities needed to process
22 our produce and to deliver useful products to consumers; to
23 provide reasonable conditions for the planning and construction
24 of linear infrastructure projects that will serve the public
25 convenience and necessity; and to vindicate and safeguard the
26 property rights of all Iowans, including those who prefer not
27 to accommodate the construction of a pipeline on their land,
28 as well as those who would choose to convey an easement for
29 valuable consideration in a voluntary transaction.

30 Sec. 2. Section 479B.2, Code 2026, is amended by adding the
31 following new subsection:

32 NEW SUBSECTION. 6. "*Voluntary easement corridor*" means land
33 within the county where an informational meeting is held or
34 within a distance of five miles on either side of a proposed
35 pipeline route.

1 Sec. 3. Section 479B.4, subsections 5 and 6, Code 2026, are
2 amended to read as follows:

3 5. *a.* The notice shall ~~set forth~~ include the following:

4 (1) The name of the applicant.

5 (2) The applicant's principal place of business.

6 (3) The general description and purpose of the proposed
7 project.

8 (4) The general nature of the right-of-way desired.

9 (5) A map showing the route or location of the proposed
10 project.

11 (6) ~~That~~ A statement that the landowner has a right to
12 be present at the meeting and to file objections with the
13 commission.

14 (7) A designation of the time and place of the meeting.

15 (8) A copy of the template easement to be used for acquiring
16 land for the project.

17 (9) A description of the methodology to be used in
18 determining the value of the easement for initial offers.

19 (10) A statement of the policy for claiming damages.

20 *b.* The notice shall be served by certified mail with
21 return receipt requested not less than thirty days previous
22 to the time set for the meeting, and shall be published once
23 in a newspaper of general circulation in the county. The
24 publication shall be considered notice to landowners whose
25 residence is not known and to each person in possession of or
26 residing on the property provided a good faith effort to notify
27 can be demonstrated by the pipeline company.

28 6. A pipeline company seeking rights under this chapter
29 shall not negotiate or purchase an easement or other interest
30 in land in a county known to be affected by the proposed
31 project prior to the informational meeting. Nothing in this
32 subsection shall prohibit a company seeking rights under this
33 chapter from holding a meeting to provide general information
34 regarding a project to a community that does not include
35 negotiating specific terms with specific landowners prior to

1 the informational meeting required by this section.

2 Sec. 4. Section 479B.4, Code 2026, is amended by adding the
3 following new subsection:

4 NEW SUBSECTION. 7. Any person may file with the commission
5 comments regarding the terms of the template easement or
6 valuation methodology within fifteen days after it is filed
7 under subsection 5. The company may file responses to such
8 comments within thirty days after its filings pursuant to
9 subsection 5. The commission shall issue an order accepting,
10 rejecting, or requiring modification of the template easement
11 and valuation methodology no more than sixty days after
12 they are filed. This process shall not delay either the
13 informational meetings or the company's ability to negotiate
14 with landowners, but no easement shall be finalized before the
15 template easement is approved.

16 Sec. 5. Section 479B.16, Code 2026, is amended by adding the
17 following new subsections:

18 NEW SUBSECTION. 4. *a.* Following the public informational
19 meeting held pursuant to section 479B.4 and proper publication
20 of notice required by section 479B.4, subsection 5, paragraph
21 "b", a pipeline company may communicate with owners of record
22 of any land within the voluntary easement corridor for the
23 purpose of proposing voluntary transactions for the conveyance
24 of easements for the project, without regard to whether such
25 landowner received prior notice by mail. The pipeline company
26 shall not be required to provide to such landowners prior
27 individual notice of the proposed project before initiating
28 communication. Land within the voluntary easement corridor
29 shall not be subject to eminent domain.

30 *b.* Before entering into a voluntary agreement with a
31 landowner who did not receive notice of the informational
32 meeting by mail, the pipeline company shall provide such
33 landowner copies of the informational meeting materials
34 presented by the commission, the consumer advocate, and the
35 company seeking rights under this chapter.

1 *c.* After sixty days following the company's initial offer
2 for a voluntary agreement, a landowner may request that all
3 further communications from the pipeline company occur only
4 in a preferred method of communication, such as written
5 telephonically or through certified mail. A landowner may also
6 request that further communications from the pipeline company
7 are only conveyed through a designated representative of the
8 landowner. Upon receiving such a request, the company shall
9 comply, and the identified land shall remain eligible for
10 voluntary easement negotiating and any subsequent regulatory
11 proceedings.

12 NEW SUBSECTION. 5. *a.* This subsection shall apply only
13 to a hazardous liquid pipeline for which a pipeline company
14 requests authority to use eminent domain to acquire interests
15 in land.

16 *b.* For a hazardous liquid pipeline that is proposed to
17 exceed twenty miles in length within the state, the pipeline
18 company shall make a diligent effort to assemble a route
19 consisting exclusively of easements within the voluntary
20 easement corridor that are acquired through voluntary
21 conveyances. A pipeline company shall not be eligible to
22 request authority to use eminent domain except upon a showing
23 to the commission that it has made such diligent effort.

24 *c.* After initiating communication with a landowner
25 pursuant to subsection 4, a pipeline company shall provide a
26 landowner with a description of the proposed project and the
27 easement rights the company seeks to acquire, and shall request
28 permission to conduct a civil survey. If the permission for a
29 civil survey is granted, the pipeline company shall conduct the
30 civil survey within ninety business days.

31 *d.* If a civil survey conducted pursuant to paragraph "*c*"
32 finds the land is not suitable for purposes of the project,
33 the pipeline company shall promptly provide the landowner
34 with written notice of this finding and shall file with the
35 commission a copy of the notice. Otherwise, within ninety

1 business days of the completion of the civil survey, the
2 pipeline company may submit to the landowner a written offer
3 for purchase of the easement. The pipeline company shall,
4 before filing an application requesting eminent domain, submit
5 such an offer to the owners of land that might be used to
6 assemble a route not including the land for which eminent
7 domain is requested. The offer shall include customary terms
8 and conditions for the conveyance of easements, and shall also
9 include all of the following:

10 (1) A statement of the requirements applicable under the
11 laws of this state and rules adopted by the commission relating
12 to the construction, operation, and maintenance of a hazardous
13 liquid pipeline upon land subject to the proposed easement,
14 including land restoration, tile repair, and damages.

15 (2) A statement that the landowner and the pipeline company
16 may agree to different terms not contrary to Iowa law, but that
17 such provisions shall be set forth expressly in a contract for
18 conveyance of an easement.

19 (3) An offer of cash compensation for the easement, which
20 may differ in amount from the compensation offered to other
21 landowners for easements of similar dimensions on similar land.

22 e. The pipeline company shall seek to execute contracts
23 for the voluntary conveyance of easements within one year of
24 initial communication with the landowners within a particular
25 county. If, however, after no less than six months, the
26 company is unable to execute contracts for easements sufficient
27 to assemble a route for the pipeline, the company shall
28 file with the commission a notice setting forth all of the
29 following:

30 (1) The parcels for which the company has failed to reach
31 easement agreements and for which eminent domain is sought, or
32 that would, if an easement were granted, provide an alternative
33 to each eminent domain parcel, and the names of the owners of
34 those parcels.

35 (2) A list of the contacts made relating to each parcel

1 identified in subparagraph (1), including the date and method
2 of each contact, and a brief description of any issues causing
3 an impasse for that parcel.

4 (3) Either a request for an extension for further
5 negotiations or a statement that no agreement can be reached
6 for that parcel.

7 *f.* All data in the filing made under paragraph "e" shall
8 be held confidential and shall not be subject to disclosure in
9 response to a request under chapter 22.

10 *g.* For any easement that the pipeline company seeks to
11 acquire using eminent domain, the company shall file with the
12 commission all of the following:

13 (1) Evidence establishing that the company diligently
14 exhausted all alternatives to assemble a continuous route
15 for the project exclusively by means of voluntarily conveyed
16 easements, and that it was unable to do so for one or more of
17 the following reasons:

18 (a) Inability to obtain voluntary agreements for continuous
19 easements on adjoining parcels within a county where an
20 informational meeting was held, or outside that county but
21 within five miles of the center line of the proposed pipeline
22 route in that county, due to rejection by landowners of offers
23 based on a valuation methodology approved by the commission, or
24 due to the refusal of landowners to engage in communications
25 with the company pursuant to subsection 4, paragraph "d".

26 (b) Technical or engineering infeasibility of construction
27 in a specific location due to terrain, other natural features,
28 or land conditions.

29 (c) Infeasibility of compliance with safety requirements
30 relating to construction, operation, or maintenance of a
31 pipeline, under applicable federal law or rules, in a specified
32 location, due to terrain, other natural features or land
33 conditions, presence of occupied or other man-made structures,
34 or if the commission finds on engineering evidence that
35 safety would otherwise be adversely impacted by a route using

1 only voluntary easements and such safety would be materially
2 improved by use of a route facilitated by eminent domain.

3 (d) Economic infeasibility of the pipeline due to excessive
4 easement acquisition costs for alternative routes to avoid the
5 use of eminent domain. For purposes of this subparagraph,
6 economic infeasibility shall be shown by clear and convincing
7 evidence.

8 (2) A statement setting forth why the company requires an
9 easement on the specific parcel for which the company seeks
10 eminent domain.

11 h. Deadlines established by subsection 4 and this subsection
12 shall be subject to extension by the commission upon a showing
13 of good cause.

14 Sec. 6. EFFECTIVE DATE. This Act, being deemed of immediate
15 importance, takes effect upon enactment.

16 Sec. 7. APPLICABILITY — RETROACTIVE APPLICABILITY.

17 1. Except as provided in subsection 2, this Act applies to
18 the construction of any hazardous liquid pipeline for which a
19 petition is filed on or after the effective date of this Act.

20 2. a. Except as provided in paragraph "b", this Act applies
21 retroactively to the construction of any hazardous liquid
22 pipeline designed for the transportation of liquefied carbon
23 dioxide for which a petition is filed under chapter 479B on or
24 after January 1, 2024.

25 b. The portion of the section of this Act enacting
26 section 479B.16, subsection 4, applies retroactively to the
27 construction of pipelines designed for the transportation of
28 liquefied carbon dioxide for which a petition was filed under
29 chapter 479B on or after January 1, 2022, except that such
30 portion shall not apply to a pipeline project for which the
31 pipeline company has, before the effective date of this Act,
32 acquired easements sufficient to construct the entirety of the
33 pipeline exclusively through voluntary transactions.>

34 _____. Title page, by striking lines 1 through 3 and
35 inserting <An Act relating to easements for hazardous liquid

1 pipelines, including negotiation requirements, eminent
2 domain authorization, and contract execution, and including
3 effective date, applicability, and retroactive applicability
4 provisions.>>

MIKE KLIMESH